

Then the real action starts, and not in a good way. From our +30% on the year in March, we find ourselves dropping fast until we hit a low of -5% a month later (Figures 6.9 and 6.10). This doesn't look so big in the graph perhaps, but when it happens, it feels like the end. At the numbers you held in March, you would have had another half a million dollars payday to look forward to. Then in a matter of weeks, that's all gone. This is what really messes with your head when you manage money.

It shouldn't be surprising that the main losses came from the long side, given that we've already seen in Figure 6.9 that the long side is the only

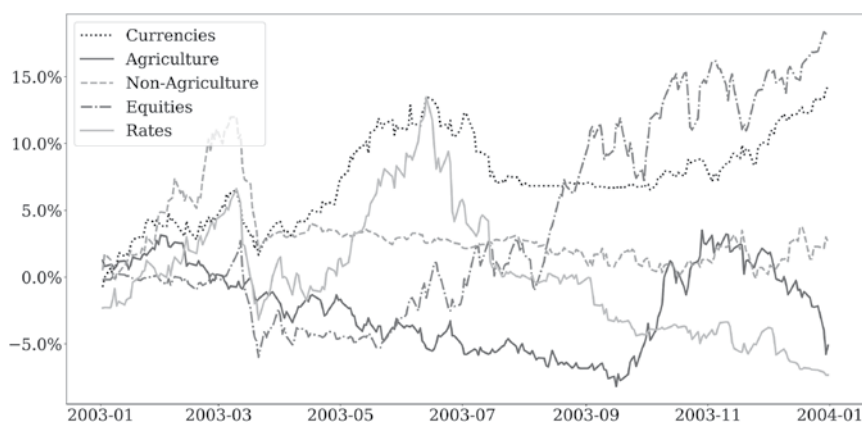


FIGURE 6.9 Sector performance 2003.

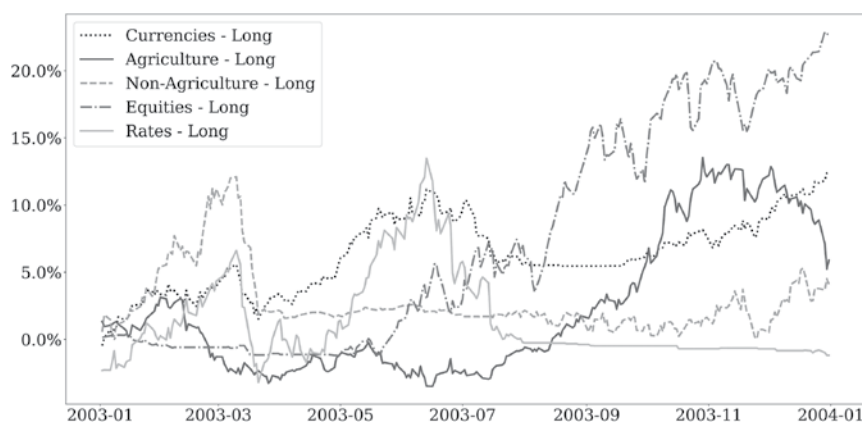


FIGURE 6.10 Long sector performance 2003.